📘 UPSC MASTER NOTES — MONEY, BANKING & RBI

Monetary Policy | Full Impact Analysis | UPSC Prelims + Mains

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🧠 1. MONEY — CORE FOUNDATION

Definition

> **Money** is a generally accepted medium of exchange used for final settlement of transactions.

Key Properties

Property	Meaning
General acceptability	Accepted by everyone in trade
Legal tender	Legally mandated to accept
Divisibility	Can be split into smaller units
Portability	Easy to carry
Durability	Doesn't deteriorate quickly
Store of value	Retains purchasing power over time

🔁 2. EVOLUTION OF MONEY

Stage 1 — Barter System

Core Problem: Double Coincidence of Wants

- Exchange requires BOTH parties to want exactly what the other offers
- Example: Farmer with wheat wanting shoes must find a cobbler who wants wheat

Structural Failures of Barter:

1. No common unit of account (How many wheat = 1 cow?)
2. No store of value (Perishable goods lose value)
3. Indivisibility (Can't split a cow for small purchases)

4. No deferred payment system (Difficult to borrow/lend)

Stage 2 — Commodity Money

- Has **intrinsic value** (value derived from own usefulness + material composition)
- Examples: Gold, Silver, Salt, Cattle
- Problem: Heavy, not portable, difficult to divide uniformly

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Stage 3 — Metallic & Paper Money

- Standardised coins with face value
- Easier portability

Stage 4 — Fiat Money ⭐ MOST IMPORTANT

- Issued by government; **NO intrinsic value**
- Value = legal authority + public trust
- Example: INR, USD, EUR
- **UPSC Key Insight:** "Fiat" = "Let it be" in Latin → value by government decree

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Stage 5 — Fiduciary Money

- Based on trust (e.g., cheques, promissory notes)
- NOT legal tender but accepted by trust

Stage 6 — Commercial Bank Money

- Created through **credit creation** by banks
- Example: When a bank gives a loan, it creates new deposit money

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💡 3. DEMAND FOR MONEY (THEORY)

1. Transaction Motive

- Holding cash for day-to-day purchases
- Depends on: **Income level + frequency of transactions**
- Higher income → Higher transaction demand

2. Precautionary Motive

- Holding cash for unexpected emergencies
- Depends on: **Uncertainty + Income stability**
- Higher uncertainty → Higher precautionary demand

3. Speculative Motive ⭐ VERY IMPORTANT

- Holding cash to take advantage of future investment opportunities (especially bonds)
- Depends on: **Interest rate expectations**

Core Logic (Inverse Relationship):

```
Interest Rate ↑  →  Bond Price ↓  →  People sell bonds  →  Hold more cash
Interest Rate ↓  →  Bond Price ↑  →  People buy bonds   →  Hold less cash
```

> **UPSC Trap:** Speculative demand for money is INVERSELY related to interest rates.

⚙️ 4. BANKING SYSTEM

What is a Bank?

A **financial intermediary** that:

- Accepts deposits (liability)
- Provides credit (asset)

Types of Deposits

Type	Features
Demand Deposits	Withdraw anytime; Current + Savings accounts

Type	Features
Time Deposits	Fixed maturity; Higher interest; FDs

NDTL — Net Demand and Time Liabilities ⭐ VERY IMPORTANT

- **Formula:** NDTL = (Demand Deposits + Time Deposits) − Liabilities to Banking System
- **Why important:** Base for calculating **CRR** and **SLR**
- Higher NDTL → Higher mandatory reserves required

Fractional Reserve System (FRS)

- Banks keep only a **fraction** of deposits as reserves
- Rest is lent out → creates more money in economy

Impact:

```
Lower Reserve Ratio → More lending → Higher Money Supply → More inflation risk
Higher Reserve Ratio → Less lending → Lower Money Supply → Inflation control
```

Money Multiplier

```
Money Multiplier = 1 / Reserve Ratio
Example: Reserve Ratio = 10% → Multiplier = 10
Initial deposit ₹100 → Total money created = ₹1000
```

🏦 5. RBI — RESERVE BANK OF INDIA

Key Facts

Detail	Value
RBI Act	1934
Established	1 April 1935
Nationalised	1949

Detail	Value
Headquarters	Mumbai
Governor (as of 2024)	Shaktikanta Das

Core Functions

1. **Monetary Authority** — Controls money supply and inflation
2. **Banker to Government** — Manages government accounts, borrows on behalf of govt
3. **Banker's Bank** — Lender of last resort for commercial banks
4. **Currency Issuer** — Issues all currency notes (except ₹1 coin — issued by Finance Ministry)
5. **Controller of Credit** — Regulates lending by banks
6. **Foreign Exchange Manager** — Manages forex reserves, intervenes in markets

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💰 6. MONETARY POLICY

Definition

> RBI's use of tools to **control money supply, credit, and interest rates** to achieve macroeconomic goals.

Objectives (Priority Order)

1. **Price stability** (controlling inflation) — Primary
2. **Economic growth**
3. **Financial stability**
4. **Exchange rate stability**

Inflation Target (Flexible Inflation Targeting Framework)

- **Target: 4% ± 2%** (i.e., 2% to 6%)
- Set by **Monetary Policy Committee (MPC)** — 6 members
- 3 from RBI + 3 external members appointed by Government
- **Meetings:** Every 2 months (6 times/year)

⚙️ 7. MONETARY POLICY TOOLS — FULL IMPACT ANALYSIS

🔴 A. REPO RATE ⭐ MOST IMPORTANT

Definition: Rate at which **RBI lends to commercial banks** (short-term, usually overnight), against government securities as collateral.

Current Rate: ~6.5% (check latest before exam)

🔺 SCENARIO: REPO RATE INCREASES

```
RBI raises Repo Rate
        ↓
Borrowing cost for banks ↑
        ↓
Banks raise their lending rates (MCLR ↑)
        ↓
Home loans, car loans, business loans → more expensive
        ↓
Consumption ↓ + Investment ↓
        ↓
Aggregate Demand ↓
        ↓
Inflation ↓ ✓ | Economic growth slows ❌
```

Impact Summary:

Stakeholder	Effect
Banks	Borrowing cost ↑, profit margins ↓
Borrowers (households/firms)	Loan EMIs ↑, new loans discouraged
Economy	Inflation ↓, GDP growth slows
Govt Borrowing	Expensive, fiscal deficit pressure
Bond Prices	↓ (inverse relation with interest rate)

🔻 SCENARIO: REPO RATE DECREASES

```
RBI cuts Repo Rate
        ↓
Banks borrow cheaply from RBI
        ↓
Banks lower lending rates
        ↓
Loans become cheaper → credit off-take ↑
        ↓
Consumption ↑ + Investment ↑
        ↓
Aggregate Demand ↑
        ↓
GDP growth ↑ ✓ | Inflation may rise ❌
```

🔴 B. REVERSE REPO RATE

Definition: Rate at which **RBI borrows from commercial banks** (RBI absorbs excess liquidity).

Reverse Repo < Repo (always)

⚠️ SCENARIO: REVERSE REPO RATE INCREASES

```
Reverse Repo ↑
        ↓
Banks find it more attractive to park money with RBI
        ↓
Less money available for lending
        ↓
Credit in economy ↓ → Liquidity ↓
        ↓
Inflation ↓ ✓ | Growth slows ❌
```

🔴 C. CRR — CASH RESERVE RATIO ⭐ VERY IMPORTANT

Definition: Percentage of **NDTL** that banks must compulsorily keep with **RBI** as cash reserves.

- No interest earned on CRR
- Direct tool for liquidity control

⚠️ SCENARIO: CRR INCREASES

```
RBI raises CRR (say from 4% to 5%)
        ↓
Banks must deposit MORE cash with RBI
        ↓
Loanable funds with banks ↓
        ↓
Banks lend less
        ↓
Money supply in economy ↓
        ↓
Demand ↓ → Inflation ↓ ✓
        ↓
But: Growth slows, banks' profitability ↓ ❌
```

UPSC Important: CRR hike of 1% absorbs ~₹1.3-1.5 lakh crore from the system (approx.)

Impact Matrix:

Effect	Result
Banks' liquidity	Sharp drop
Banks' profitability	Falls (idle CRR earns no interest)
Money supply	Contracts
Inflation	Falls
Credit to private sector	Falls

▼ SCENARIO: CRR DECREASES

```
CRR ↓ → Banks have more money → More lending
→ Money supply ↑ → Demand ↑ → Growth ↑ (but inflation risk ↑)
```

🔴 D. SLR — STATUTORY LIQUIDITY RATIO ⭐ IMPORTANT

Definition: Percentage of **NDTL** that banks must maintain in the form of:

- Cash

- Gold
- Approved government securities (G-Secs, T-Bills, State Govt securities)

Maintained by: Banks themselves (NOT with RBI) — KEY DIFFERENCE FROM CRR

▲ SCENARIO: SLR INCREASES

```
RBI raises SLR
        ↓
Banks must buy MORE government securities
        ↓
Less money available for private sector lending (crowding out)
        ↓
Credit to industry/households ↓
        ↓
Investment ↓ → Aggregate demand ↓
        ↓
Inflation ↓ ✓ | Private sector growth suffers ✗
```

Additional Effect: Government borrowing becomes EASIER (captive demand for G-Secs)

● E. OPEN MARKET OPERATIONS (OMO)

Definition: RBI buys/sells government securities in the open market to control liquidity.

▲ SCENARIO: RBI SELLS SECURITIES (Contractionary)

```
RBI sells G-Secs to banks
        ↓
Banks pay cash to RBI
        ↓
Liquidity with banks ↓
        ↓
Lending capacity ↓ → Credit ↓
        ↓
Money supply ↓ → Inflation ↓ ✓
```

▼ SCENARIO: RBI BUYS SECURITIES (Expansionary)

```
RBI buys G-Secs from banks
        ↓
Banks receive cash from RBI
        ↓
Liquidity with banks ↑
        ↓
Lending ↑ → Credit ↑
        ↓
Money supply ↑ → Growth ↑ ✓
```

OMO vs Repo — KEY DIFFERENCE:

Feature	Repo	OMO
Duration	Short-term (overnight)	Long-term (permanent)
Reversible	Yes (collateral returned)	No (outright purchase/sale)
Purpose	Short liquidity management	Long-term liquidity adjustment

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🔴 F. MSF — MARGINAL STANDING FACILITY

Definition: Emergency window where banks can borrow from RBI **above their SLR limit**, by dipping into SLR securities.

Rate: MSF Rate > Repo Rate (penalty pricing)

Use Case:

```
Bank faces sudden liquidity crisis (bank run or large payment)
        ↓
Repo window already exhausted
        ↓
Bank uses MSF → borrows at MSF rate (higher cost)
        ↓
Stability maintained, but expensive
```

MSF forms the ceiling of the LAF (Liquidity Adjustment Facility) corridor

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🔴 G. SDF — STANDING DEPOSIT FACILITY

Definition: RBI absorbs excess liquidity from banks **WITHOUT giving any collateral** in return.

Rate: SDF Rate < Repo Rate

Why important (UPSC 2022+ topic):

- Earlier, RBI had to give G-Secs when absorbing liquidity (Reverse Repo)
- SDF removes this need — cleaner tool
- **SDF forms the floor of the LAF corridor** (replaced Reverse Repo as floor)

LAF Corridor Structure:

```
MSF Rate (ceiling) — Banks borrow from RBI
      |
  Repo Rate
      |
SDF Rate (floor) — Banks park with RBI
```

🔴 H. BANK RATE

Definition: Rate at which RBI provides **long-term loans** to commercial banks (without collateral).

Bank Rate = MSF Rate (currently linked)

Usage: Mostly used for rediscounting bills of exchange; largely a signalling tool now.

🔵 8. QUALITATIVE (SELECTIVE) CREDIT CONTROLS

Definition: Target-specific sectors rather than overall credit.

Tools:

1. **Credit Rationing** — Limit total credit to specific sectors
2. **Margin Requirements** — RBI specifies % of loan value the borrower must pay (rest = loan)
3. **Moral Suasion** — RBI requests/persuades banks informally
4. **Direct Action** — RBI can penalise non-compliant banks
5. **Differential Interest Rates** — Priority sector gets lower rates

Example Scenarios:

- Stock market speculation ↑ → RBI raises margin on stock loans → Speculation ↓
- Housing bubble risk → RBI restricts housing loan % of total lending
- Agriculture in distress → RBI mandates priority sector lending targets

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🔗 9. COMPLETE POLICY RESPONSE LOGIC

To Control Inflation (Contractionary/Hawkish)

Tool	Action
Repo Rate	Increase ↑
Reverse Repo Rate	Increase ↑
CRR	Increase ↑
SLR	Increase ↑
OMO	Sell securities
Bank Rate	Increase ↑

To Boost Growth (Expansionary/Dovish)

Tool	Action
Repo Rate	Decrease ↓
Reverse Repo Rate	Decrease ↓
CRR	Decrease ↓
SLR	Decrease ↓
OMO	Buy securities
Bank Rate	Decrease ↓

📊 10. INTEREST RATE TRANSMISSION MECHANISM

```
RBI Changes Repo Rate
        ↓
Banks' Cost of Funds Changes
        ↓
MCLR (Marginal Cost of Funds Based Lending Rate) changes
        ↓
Retail/Corporate Loan Rates change
        ↓
Borrowing decisions change
        ↓
Consumption + Investment change
        ↓
Aggregate Demand changes
        ↓
Inflation + GDP Growth respond
```

Why Transmission is Incomplete?

- Banks may not fully pass on rate cuts (fear of margin loss)
- Existing fixed-rate loans unaffected
- Credit demand may be low despite cheap rates (liquidity trap)
- Structural issues in credit markets

⚠️ 11. UPSC COMMON TRAPS

Confusion	Correct Fact
Repo vs Reverse Repo	Repo = RBI lends TO banks; Reverse Repo = RBI BORROWS FROM banks
CRR vs SLR location	CRR kept WITH RBI; SLR kept BY banks themselves
Fiat money has intrinsic value	FALSE — Fiat has NO intrinsic value
OMO = Repo	FALSE — Repo is short-term/reversible; OMO is long-term/permanent
MSF rate < Repo	FALSE — MSF > Repo > SDF

Confusion	Correct Fact
Bank Rate = Repo Rate	FALSE — Bank Rate = MSF Rate ≠ Repo Rate
CRR earns interest	FALSE — CRR earns ZERO interest
SDF requires collateral	FALSE — SDF needs NO collateral (that's its USP)

🎯 12. IMPORTANT SCENARIOS FOR MAINS

Scenario 1: Stagflation

> High inflation + Low growth simultaneously

- Traditional tools fail (can't raise rates to fight inflation without killing growth)
- RBI must use targeted/qualitative tools
- Fiscal policy coordination needed

Scenario 2: Liquidity Trap

> Rates near zero but investment still doesn't rise

- Monetary policy becomes ineffective
- Need fiscal stimulus
- Japan experienced this post-1990

Scenario 3: Imported Inflation

> Inflation from global commodity prices (crude oil, food)

- Repo rate hike may not help (supply-side issue)
- Exchange rate management + OMO needed

Scenario 4: Currency Crisis + Inflation Together

> Rupee falls sharply + Inflation high

- RBI may raise rates (supports rupee, controls inflation)
- But growth suffers
- Example: 2013 Taper Tantrum

Scenario 5: Credit Growth but No Investment

> Banks have liquidity but corporations don't borrow

- Animal spirits/business confidence issue
- Monetary easing alone insufficient
- Structural reforms needed

📜 13. ULTRA-CRISP REVISION TABLE

Concept	One-liner
Money	Medium of exchange, accepted universally
Fiat Money	Value by decree, no intrinsic worth
Barter Failure	Double coincidence of wants
NDTL	Base for CRR and SLR calculation
Repo ↑	Inflation ↓, Growth slows
CRR ↑	Liquidity drains from banking system
SLR ↑	Govt gets funds, private sector crowded out
OMO Sell	RBI absorbs liquidity, money supply ↓
MSF	Emergency borrowing, above repo rate
SDF	RBI absorbs liquidity, no collateral needed
MPC	Sets repo rate, 4% ± 2% target
Money Multiplier	1/Reserve Ratio

📚 14. PREVIOUS YEAR QUESTIONS (PYQs)

UPSC Prelims 2023: Which of the following is not a function of the Reserve Bank of India? → Underwriting government securities (Correct: RBI manages, not underwrites)

UPSC Prelims 2021: What is the purpose of the 'Marginal Standing Facility'? → Allows banks to borrow above SLR at penal rate during emergency

UPSC Prelims 2020: A decrease in CRR results in: → Increase in money supply (Correct Answer)

UPSC Mains 2019: Explain the transmission mechanism of monetary policy. Why is it often ineffective in developing countries?

🎯 15. MAINS ANSWER FRAMEWORK

When asked about Monetary Policy Effectiveness:

1. **Define** Monetary Policy and its objectives
2. **Explain tools** (quantitative + qualitative)
3. **Describe transmission mechanism**
4. **Discuss limitations** (transmission lag, liquidity trap, fiscal dominance)
5. **Suggest reforms** (MPC, flexible inflation targeting, coordination with fiscal policy)
6. **Conclude** with recent RBI actions and their impact

Notes compiled for UPSC CSE Prelims + Mains | Topics: GS Paper 3 — Economy Always verify current rates from RBI website before exam